

In the End

A US Insurance organization with 20,000 employees observed high attrition. They surveyed the employee preferences and adjusted the total rewards. They adjusted their performance based compensation, improved healthcare benefits and personalized their learning programs.

Their engagement increased by up to 21% and they saved up to 12% in the compensation cost. This shows people are ready to trade benefits for money.

It also reflects in the PwC and True Choice study of the employee preferences towards rewards components.

In the past decade, the preference for financial compensation has declined by 11% and has been replaced by a focus on benefits and well-being. You should tailor your total rewards based on the needs of your employees.

Some questions are yet to be answered. When should we pay an employee's salary? How many times a year should an employee's salary be paid? What is the minimum salary to be paid to an employee? What components should be part of the salary? We will discuss answers to all of these questions in the next chapter.

Total Rewards is a strategy to align people to organizational objectives.

Hands-on HR

Here are some hands-on questions for you to apply what you have learnt in this chapter. Calculate following for Jatin. Example of Amar is given for your reference.

1. Calculate CTC for Jatin

Calculate the following for Jatin.

- Gross Salary - Sum of Basic Salary and Allowances.
- Provident Fund (PF) contribution by employer - 12% of Basic Salary
- Benefits - Sum of benefits including Medical Insurance and PF
- CTC - Sum of Gross Salary and Benefits